

Promotional Sunset Plan

Objective

The Promotional Sunset Plan aims at reducing the need to provide blanket discounts, without losing customers or reducing customer value. The analysis indicates that there are still several highly involved customer segments with good buying behaviour, even if there were no promotional discounts, which implies the implementation of more focused and behaviour-based promotion strategies.

Key Findings

The analysis uncovers a number of key findings :

1. VIP customers were found to have higher average spend per transaction (\$84.06) than Low Value customers (\$34.50) and had much more frequent and repeat purchasing behavior.
2. The majority of VIP customers (about 84%) were in the High Loyalty or Champion loyalty segments, indicating that there was a strong connection between customer value and continued loyalty.
3. Champion customers had nearly identical purchasing behavior regardless of discount participation. The average price of a purchase by discount users was \$59.48 versus \$60.50 for non-discount users, and previous purchase behavior was nearly the same between the two groups.
4. There was also a significant rise in Organic Demand Scores from 0.33 for Low Value customers to 0.59 for VIP customers. This indicates the motivation of stronger customers is more due to sustained engagement with repeat purchasing than the dependence of promotion.
5. Geographic analysis showed there were a number of regions including Arizona, Alaska, Hawaii, Illinois and Alabama that were relatively high in organic-demand and had a relatively low discount dependence and relatively good customer quality metrics.
6. Product-category analysis revealed only minor differences in discount dependence across product categories, which indicated that category wide discounting may not be essential to keep customers engaged.

Recommended Promotional Strategy

The findings suggest that promotions should be behaviour driven (those who are motivated to purchase) rather than massively offering discounts to all customers.

VIP + Champion Customers

High value and high loyalty customers should be slowly phased out of offering discounts. These are customers who make regular purchases and have a high repeat purchase rate. When it comes to this segment, it's not about discounts, it's about providing high-value experiences, loyalty-based interactions, access-first initiatives and personalized customer support.

High Value + Medium Loyalty Customers

This segment is one of the most promising segment identified in this analysis that the brand should target. These customers have already shown good spending habit but aren't yet showing a consistent loyalty pattern. The company should focus on targeted retention marketing, personalized offers and engagement-based loyalty programs for this segment.

Low Value + Low Loyalty Customers

Promotional activity for low value customers should be monitored regularly with a focus on customer acquisition. Retention investments need to be monitored to ensure that it is profitable, and excessive investment in under-engaged segments should be avoided.

Regional Promotional Strategy

Regions showing high levels of organic demand and customer quality should be phased out more quickly from blanket discount offerings. On the other hand, regions showing high discount involvement will need a gradual, targeted promotional reduction strategy to minimize retention risk.

Rollout Plan

The Promotional Sunset Plan should be implemented gradually over multiple phases:

- Phase 1: Reduce blanket discounts for VIP and Champion customers while monitoring repeat purchasing behavior.
- Phase 2: Test targeted loyalty-oriented engagement strategies for high-potential customer segments.
- Phase 3: Slowly reduce discount offerings in regions showing stronger organic demand for the products.
- Phase 4: Continuously monitor customer retention, purchase frequency, and customer satisfaction metrics to optimize promotional allocation.

Risks

Potential risks involve lower short-term conversion rates and lower retention of customers in the segments that are sensitive to promotional offerings and discounts. The risks can be reduced by the slow and gradual rollout, continuous behavioral monitoring, and replacing blanket discounts with more focused and engagement-based retention strategies.